

World in Brief: Chip stocks fall; Oman's plan for Strait of Hormuz



Photograph: Reuters

The NASDAQ 100, a tech-heavy index of **American stocks**, fell by around 1% as concerns over AI-related spending and **Chinese competition** hurt **semiconductor-makers**. The index briefly dipped more than 10% below its June peak, referred to as a “correction” by investors. The broader S&P 500 index of American firms rose, however, as investors remained confident in other sectors.

Oman reportedly presented a plan to **Iran** for joint management of the **Strait of Hormuz**. Ships traversing the waterway would be asked to pay voluntary contributions, as they are in waterways such as Asia's Strait of Malacca. Meanwhile, the White House said Binyamin Netanyahu, **Israel's** prime minister and **Donald Trump** had a “positive and productive” meeting in Washington.

Many people became trapped in a shopping centre that collapsed following an **earthquake** with a magnitude of 7.1 in **Japan's** south-western Kumamoto prefecture. Police said between 20 and 30 employees were believed to be missing and “quite a few” people were presumed dead. Across the region thousands of homes were left without power. More than 300,000 people were told to go to evacuation centres.

Johnson & Johnson agreed to pay \$5.5bn to settle some 76,000 American lawsuits that claim its talcum-based products, including baby powder, cause ovarian cancer. The pharmaceutical firm insisted the allegations are “meritless” but said it wanted to resolve [the decade-long dispute](#). The deal must be accepted by 95% of claimants before it can be finalised.

Keiko Fujimori was sworn in as **Peru’s** first elected female president—and the ninth person to lead the country in a decade. Despite narrowly beating her left-wing rival in a [run-off](#), Ms Fujimori is a polarising figure: she is best known as the eldest daughter of the late Alberto Fujimori, a former autocrat. She vowed to bring “order and national reconciliation” to Peru’s unstable politics.

FIFA, [football’s governing body](#), proposed raising up to \$4.2bn by selling stakes in a new commercial subsidiary to outside investors. It valued the venture, which member associations must first approve, at \$20bn. UEFA, which governs European football, said the proposal “crosses a line” and lacks transparency. FIFA said external investors would “not play any operational role”.

Emily Wilson, an academic who wrote a translation of Homer’s “**The Odyssey**” in 2017 that influenced Christopher Nolan’s new Hollywood blockbuster, published a scathing review of the film. “The language is relentlessly expository, humourless and flat,” she writes. Mr Nolan’s adaptation has been lauded by critics, [but it is actually very silly](#).

Figure of the day: 466,000, the average number of Americans applying to start a business each month since 2024. [Explore](#) how AI is helping America become an entrepreneur’s paradise.

Two meetings and a funeral



Photograph: Reuters

Senator [Lindsey Graham](#) relished his role as an informal envoy between Donald Trump and foreign leaders. Fittingly, his funeral on Tuesday provided one final round of diplomacy. Attendees, including Volodymyr Zelensky and Binyamin Netanyahu, met with the American president.

Mr Graham's funeral comes at a critical juncture in the conflicts in Iran and Ukraine. Mr Trump is weighing a return to full-scale war in Iran; Mr Netanyahu will have probably pressured the president to escalate. Yet the Israeli prime minister remains an unpopular figure within the MAGA base and Mr Trump's circle as the military objectives of the two countries diverge. Mr Netanyahu's earlier requests to meet with Mr Trump were rebuffed. Mr Zelensky, for his part, hopes to shore up American support following the loss of one of Ukraine's staunchest backers in Congress. At this moment in particular, both leaders would have benefited from having [Mr Graham](#) at their side.

Italy's push for a Palestinian state



Photograph: Getty Images

On Tuesday Italy is hosting the latest round of international talks aimed at establishing a [Palestinian state](#). The two-day summit in Rome is part of a diplomatic push under the Global Alliance for the Implementation of the Two-State Solution, co-chaired by Saudi Arabia and backed by France and the European Union. The coalition was formed in 2024. A year later a UN resolution called for an “irreversible” pathway towards Palestinian statehood. Israel and America have boycotted the initiative; Israel argues that recognition of a Palestinian state would reward Hamas.

Italy has stopped short of joining Britain and France in recognising Palestine. Yet its stance has hardened as the war in Gaza has dragged on. Italy has summoned Israel's ambassador over attacks that endangered Italian peacekeepers in Lebanon. It has also suspended a defence agreement with Israel and pushed for EU sanctions against an Israeli minister. The summit will underscore Italy's tense ties with Israel and mark Rome's growing estrangement from the Trump administration.

The IMF's boss in Argentina



Photograph: Getty Images

Kristalina Georgieva, the head of the IMF, concludes a two-day trip to Argentina on Tuesday. It is the first visit by any IMF chief in eight years, despite a staggering \$57bn in lending during that time. Ms Georgieva will doubtless have celebrated the progress [Javier Milei](#) has made in cutting spending, reducing inflation and acquiring much-needed foreign reserves.

Yet she will also have scrutinised whether the fund's largest borrower has the capacity to [repay its debt](#) on schedule. Argentina will owe the fund at least \$9.5bn a year from 2028 to 2031 because of a surge in repayments. Ms Georgieva wants Argentina to tap global capital markets to help; Mr Milei, who faces re-election next year, counters that interest rates are too high. Even if Mr Milei triumphs in the election, a tight contest could put pressure on the peso, making repayments still more difficult.

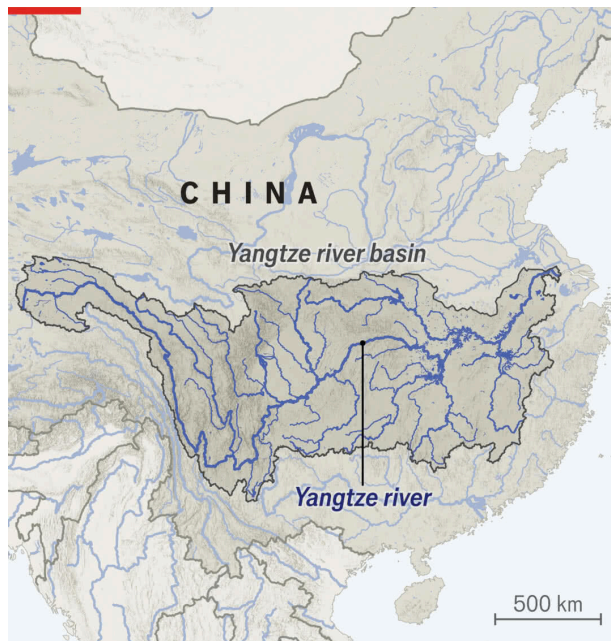
The Yangtze turns a corner



Photograph: Getty Images

The Yangtze River, which spans roughly 6,300km from the Tibetan plateau to Shanghai, has endured several challenging decades. Sewage, rubbish and industrial waste have been poured into its waters; millions of tonnes of fish have been extracted. Some species unique to the river, including the baiji—a white-bellied and nearly sightless dolphin—have almost certainly gone extinct. But now signs are growing that Asia's longest river is making [a remarkable comeback](#).

A sweeping protection campaign launched in 2021, which includes a ban on fishing, appears to be working. Fish biomass, the estimated total weight of all the fish in the river, has more than trebled in recent years after seven decades of decline. Meanwhile, a much greater share of fish are reaching reproductive maturity, a milestone which bodes well for future stocks. The recovery will allow China to cast itself as a champion of biodiversity. It is likely to gloss over the human cost: some 230,000 fishermen have lost their jobs.



Daily quiz



Illustration: Sandra Navarro

We will serve you a new question each weekday. On Friday your challenge is to give us all five answers and tell us the theme. Email your responses (and your home city and country) by 1700 BST on Friday to [\[email protected\]](#). We'll pick three winners at random and crown them on Saturday.

Tuesday: Although British newspapers are no longer produced there, which London road was famous as the home of the press?

Monday: What sportsman's first names are actually Eldrick Tont?

*Once you can express yourself,
you can tell the world what you
want from it.*

Jacqueline Kennedy Onassis